Farming Policies Perpetuate Sickness in Agriculture Business

The agriculture policy of India rests on three principal pillars. First, provide farmers with agriculture inputs (seeds, fertilizer, electricity, insurance, etc.) free of cost or at subsidized prices. Second, support output prices by fixing MSPs (minimum support prices) at the cost of cultivation and a minimum 50 per cent margin. Third, extend liberal credit almost free of interest and write off principal loans due from time to time.

These policies are responsible for keeping more than 50 per cent of India's enterprises and workforce trapped in low-income agriculture, which keeps rural India poor and unskilled, unable to improve their lot.

Subsidization of Inputs Does Not Contribute to Farmers' Incomes

The principal agriculture development strategy adopted by India was to provide inputs free or at highly subsidized rates. Surplus land was allotted free. Irrigation water was provided free. Electricity was heavily subsidized generally, with some states providing electricity free as well. Seeds, fertilizers, loans, insecticides, farm equipment, or every other input was provided free of cost or at highly subsidized prices. These free or highly subsidized inputs were expected to help the farmers earn income. Unfortunately, that has been the biggest falsehood. Free and subsidized inputs either cover the high cost of inputs, get lost in inefficient application or end up subsidizing consumers. The farmers rarely gain.

Free distribution of land and virtually free provision of canal water did not help a majority of farmers as the expansion of irrigation took some time. Only about 10 per cent of land could be irrigated even after many years of works undertaken by the government at public expenditure. Allocation of canal irrigation water to farms was made at very liberal rates and was used by the farmers by flooding their fields. While 1 kg of rice can be produced in less than 100 litres of water, Indian farmers use an average